

Contract Law:  
VITIATING ELEMENTS TO A VALID CONTRACT CONTINUES

### **Duress, Undue Influence and Mistake:**

#### **Duress**

##### Definition and legal principle

Duress occurs where a party's consent to a contract is procured by illegitimate pressure so that the agreement is not the product of free will. A contract entered under duress is voidable at the election of the victim; the remedy is normally rescission and restitution unless bars to rescission apply.

##### Elements and essential features

1. Illegitimate pressure or threat — this may be physical (threats of violence), economic (commercial pressure or threats to breach), or duress of goods (wrongful detention).
2. Causation — the pressure must have been a cause of the victim's decision to enter the contract (it need not be the sole cause).
3. Lack of reasonable alternative — the victim must have had no practical or lawful alternative to agreeing.

In other words, **DURESS** refers to situations where a party is compelled to enter into a contract through threats, violence, or illegitimate pressure, thereby depriving them of free consent. The law recognizes different forms of duress: duress to the person, duress of goods, and economic duress.

#### **Leading common-law authorities**

- *Barton v Armstrong* (Privy Council) [1976] AC 104 — the Privy Council held that threats to kill or cause serious harm vitiated consent and made the deed voidable even though other motives for entering the deed existed; the threat need only be a cause of the transaction.
- *North Ocean Shipping Co Ltd v Hyundai Construction Co Ltd (The Atlantic Baron)* [1979] QB 705 — the case examined economic duress in a commercial setting and emphasised whether the victim had practical alternatives and whether the pressure was illegitimate.

#### **Nigerian authorities and application**

Nigerian courts apply the common-law categories of duress and have considered economic duress and duress of goods in commercial disputes. A frequently discussed Nigerian authority is **Shell Petroleum Development Co Ltd v E.N. Nwawka (Court of Appeal and subsequent commentary)**, which illustrates how Nigerian courts adapt common-law principles to local commercial facts and procedural contexts. Nigerian decisions emphasise proof of illegitimate pressure and causation before setting aside agreements.

See also **Ogunleye v Oni (1990) 2 NWLR (Pt. 135) 745**, the Supreme Court emphasized that contracts entered under coercion or threats are voidable at the instance of the coerced party. Likewise, in *Union Bank of Nigeria Ltd v Ajagu* (1990) 1 NWLR (Pt. 126) 328, the court held that undue pressure affecting free consent invalidates contractual obligations

Practical points and remedies

- Rescission is the primary remedy; restitution is ordered where possible.
- Affirmation: the victim may affirm the contract after the duress has ceased, thereby losing the right to rescind.
- Third-party rights: relief may be limited where bona fide third-party rights have intervened or where restitution is impossible.

## Undue Influence

Definition and legal principle

Undue influence arises where one party abuses a position of trust, confidence, or ascendancy to procure a transaction that the weaker party would not have entered if acting freely. The law recognizes actual undue influence (direct proof of improper pressure) and presumed undue influence (arising from certain relationships of trust where the transaction calls for explanation). In other words, Undue influence arises when one party exploits a position of trust or authority to dominate another's will in forming a contract. It is distinct from duress because it involves subtle manipulation rather than overt threats. The doctrine is divided into **actual undue influence**, which must be proved, and **presumed undue influence**, which arises from special relationships such as parent-child, solicitor-client, or religious leader-follower.

In *Allcard v Skinner* (1887) 36 Ch D 145, the Court of Appeal set aside a gift made by a young woman to a religious order, recognizing that undue influence had deprived her of independent judgment. More recently, *Royal Bank of Scotland v Etridge (No 2)* (2001) UKHL 44 clarified the law, holding that banks must ensure that spouses receive independent legal advice before guaranteeing loans, to avoid undue influence claims

Nigerian courts have applied similar reasoning. In *Okonkwo v Okonkwo* (1994) 9 NWLR (Pt. 368) 301, the court recognized undue influence in family transactions where one party exploited trust and dependence. In *Oyekanmi v NEPA* (2000) 12 NWLR (Pt. 681) 337, the court held that contracts procured through abuse of authority or trust could be set aside for undue influence

Categories and legal tests

- Actual undue influence — requires evidence that the stronger party applied improper pressure.
- Presumed undue influence — arises where a relationship of trust and confidence exists (for example, solicitor/client, doctor/patient, spiritual adviser/penitent, or certain family relationships) and the transaction is manifestly disadvantageous or calls for explanation; the burden then shifts to the stronger party to show the transaction was freely entered and that

independent advice was obtained. The court asks whether the transaction is one that an ordinary person in the weaker party's position would have entered without independent advice.

Leading common-law authorities

- *Barclays Bank Plc v O'Brien* [1994] 1 AC 180 — established a practical two-stage approach for surety and mortgage cases: first, whether the surety was induced by undue influence or misrepresentation; second, whether the bank had constructive notice and, if so, whether it took reasonable steps (such as ensuring independent legal advice).

Nigerian authorities and application

Nigerian courts accept the distinction between actual and presumed undue influence and apply the *Etridge* principles in banking and family contexts. Nigerian judgments and academic commentary stress the lender's duty to ensure that a potentially vulnerable party receives independent advice and that the stronger party did not abuse a position of trust. Local cases adapt the English framework to Nigerian commercial and familial realities.

Practical points and remedies

- Voidable transaction: the usual remedy is rescission and restitution.
- Protection for third parties: a bank or purchaser who takes reasonable steps (for example, ensuring independent legal advice) may avoid being fixed with constructive notice and thus preserve the transaction against challenge.

## **Mistake:**

### **Definition and classification**

A mistake vitiates consent where one or both parties are under an erroneous belief about a fundamental fact or law so that there was no true consensus *ad idem*. Mistake occurs when parties enter into a contract under a false assumption, preventing true consensus *ad idem* (meeting of minds).

Mistakes may be common, mutual, or unilateral.

In *Couturier v Hastie* (1856) 5 HL Cas 673, the House of Lords held that a contract was void where the subject matter (a cargo of corn) had already perished before the agreement. In other words, the law distinguishes

**common mistake** (both parties share the same error), **mutual mistake** (parties are at cross-purposes), and **unilateral mistake** (only one party is mistaken). The courts apply strict tests before voiding a contract because of the need to preserve commercial certainty.

### **Common mistake**

- The mistake must be fundamental — going to the root of the contract (for example, the non-existence of the subject matter or a mistake as to identity). Or, a non existence of the subject matter as exemplified in the case of *Couturier v Hastie* (ibid)

In *Bell v Lever Brothers Ltd* [1932] AC 161 the House of Lords held that not every mistake will void a contract; the mistake must be fundamental.

- *Great Peace Shipping Ltd v Tsavliris Salvage (International) Ltd* [2002] EWCA Civ 1407 reaffirmed strict limits on common mistake and rejected a broad equitable doctrine that would allow rescission in many commercial cases; the Court of Appeal emphasised objective tests and commercial certainty.

## **Mutual and unilateral mistake**

- Mutual mistake: where parties are at cross-purposes there may be no binding agreement because there was no meeting of minds.
- Unilateral mistake: relief may be available where the non-mistaken party knew or ought to have known of the mistake, or where enforcement would be unconscionable.

### **Nigerian approach**

Nigerian courts apply the common-law tests and are generally reluctant to set aside bargains absent clear grounds such as fraud, mistake, or misrepresentation. The Supreme Court has emphasised the sanctity of contract and will not lightly disturb agreements; for example, in *Attorney-General, Rivers State v Attorney-General, Akwa Ibom State* the court reiterated that voluntary agreements are binding unless procured by fraud, mistake or misrepresentation.

### **Remedies and practical considerations**

- Void or voidable: depending on the type and severity of the mistake.
- Equitable relief: courts balance fairness and commercial certainty; equitable rescission is narrowly applied.
- Bars to rescission: affirmation, lapse of time, impossibility of restitution, and intervention of third-party rights. In *Bell v Lever Bros Ltd* (1932) AC 161, the court emphasized that only fundamental mistakes render contracts void, not minor or collateral errors. Similarly, *Smith v Hughes* (1871) LR 6 QB 597 established that a mistake about quality does not void a contract unless it goes to the root of the agreement.

Nigerian courts have followed these principles. In *Solanke v Abed* (1962) 1 All NLR 230, the Supreme Court held that a mistake as to the existence of the subject matter rendered the contract void. In *Adenuga v Lagos State Development & Property Corporation* (2002) 4 NWLR (Pt. 757) 492, the court recognized that a mistake in contract terms could vitiate consent and render the agreement unenforceable.

## **Narrative Summary**

In summary, duress invalidates contracts where consent is obtained through threats or coercion, as seen in *Barton v Armstrong* and *Ogunleye v Oni*. Undue influence protects weaker parties from exploitation in relationships of trust, illustrated in *Allcard v Skinner* and *Okonkwo v Okonkwo*. Mistake ensures that contracts are based on genuine agreement, with cases like *Couturier v Hastie* and *Solanke v Abed* showing that fundamental errors can void contracts.

Nigerian courts consistently adopt and adapt common law doctrines to safeguard fairness in contractual dealings.

ENSURE YOUR READING IS MATCHED WITH CASES CITED  
ALL THE BEST

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